STEP 7
High-Level Product Specification

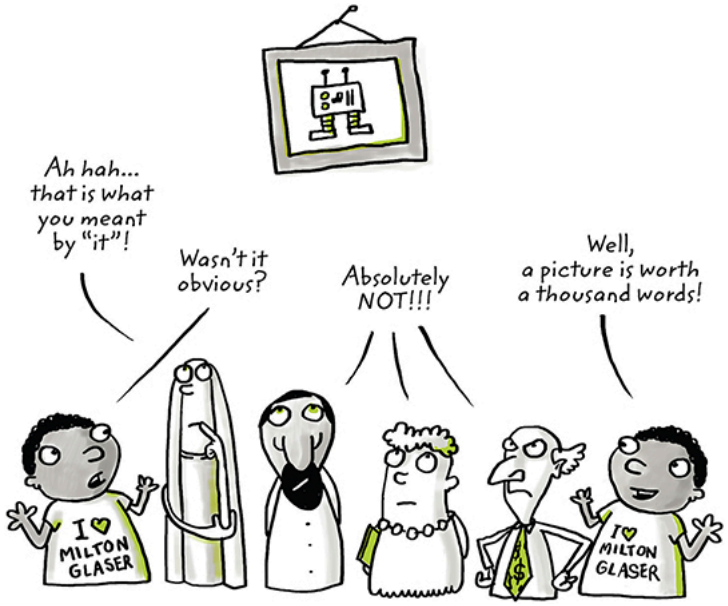
WHAT IS STEP 7, HIGH-LEVEL PRODUCT SPECIFICATION?

Create a visual description of the product and make a simple draft of a brochure.

WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

You need to make sure that all your team has a common agreement on what the product is. You have likely had an idea from the beginning of what your product will be. Now that you know who the customer is and in what context that person will use your product, you can intelligently start the process of defining your product.

> **By the Book:** See pages 91–94 of *Disciplined Entrepreneurship* for basic knowledge on this step.
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> See pages 94–101 of *Disciplined Entrepreneurship* for examples of how different companies and teams have addressed this step.



As you translate your idea into a product spec, you'll find out whether your team is on the same page!

PROCESS GUIDE

"Finally," you say, "now we can start to talk about the product!" Yes, now is the time. Why did I wait so long? Simple: I wanted you to stay open minded. It was important that you be in full "inquiry mode" and not be in "advocacy mode."[1] Staying in inquiry mode significantly increases the odds that you will design a product your target customer loves and gets optimal value from.

In this step, you will build a High-Level Product Specification and ultimately a first draft brochure (which can be physical and/or digital, but the concept and content is essentially the same). This achieves the following important objectives:

1. Drives a common understanding, on the team and beyond, of what product the company is thinking of producing. It is more common than not where team members have different ideas of what product they are aspiring to develop. This process forces explicit alignment and often surprises the team to see the level of misalignment they had before the exercise.
2. Creates a focus on benefits rather than features and functions. Teams, especially technical teams, often start to get into feature wars with competitors and lose focus on the customer, who only sees the benefits (or lack thereof) that a feature provides. This exercise will keep the emphasis on benefits.
3. Begins the process of prioritizing which benefits are more important than others. You'll focus not just your messaging but also the product design/development and business model/pricing.
4. Gives you something concrete to discuss and iterate on with the Persona (and later, other customers) while staying in "inquiry mode." It is very easy to change a brochure as opposed to a prototype, because brochures don't take much time to develop, so you're much less invested and attached to it than a prototype. Don't let the "IKEA effect" blind you to what the customer really wants.[2]

Start by completing the Visual Representation of Product worksheet, keeping in mind the following attributes of an effective High-Level Product Specification:

1. **Visual**: If it is hardware, this is easy and surprisingly clarifying. For software, use a series of simulated screenshots to form a storyboard that shows how someone would use the product.
2. **Focus on benefits**: Focus on the benefits and not the technology or functionality. In particular, focus on the benefits that are related to the Persona's top three priorities, with special focus on the top priority. Benefits are what matter to a savvy customer. Be clear on the value proposition this product has for the end user.
3. **High level**: Don't include too much detail! Just enough to show high-level functionality that will drive the benefits.
4. **Hits the spot**: Make sure the product specification resonates deeply with the Persona and other customers in the target End User Profile group. Conversely, don't be influenced by people outside your Beachhead Market, because they won't help you achieve a dominant market share in your beachhead.
5. **Flexible**: Make sure your product specification builds in the ability to iterate with the Persona about key features, functions, and benefits. Some people make multiple versions and show them side by side to the Persona. Listen to what the Persona says, and always be willing to change what you have done. A wise man once said, "Listening is the willingness to change." Don't ignore your Persona's feedback just because you think the brochure is great.

Next, complete the Product Alignment with Persona worksheet. Does your high-level specification line up with your Persona's key priorities? Is it ready for review with your Persona? And once it is, what feedback does your Persona provide, and how will you revise the specification in response?

Remember that the Persona's job is not to design the product for you, but to provide feedback on whether the benefits are useful. And as I cover in Step 23, Show That "The Dogs Will Eat the Dog Food," the ultimate test will come later, when it comes time for your customers to pay for your product.

As part of this step, you should also strongly consider creating a product brochure. (I require it in my classes.) Because a brochure can add distractions and unnecessary complications, I have saved discussion of a brochure for the Advanced Topics section at the end of this chapter.

GENERAL EXERCISES TO UNDERSTAND CONCEPT

See the back of the book for answers to some of these questions.

1. **Examples:** Pick three products you use a lot and find a high-level product description/brochure (not the technical specifications) for each one. You may find it on the product section of the website of the company that makes the product. If you find the technical specifications, compare that document with the high-level product description to observe the differences. For each product's high-level description, consider the following questions:

	Product 1= _____	**Product 2=** _____	**Product 3=** _____
What customer segment are they targeting?			
What is the primary benefit to that group?			
Is the primary benefit in alignment with the features and function?			
What is unique about the product? Is it clear from the high-level description?			
What did you like about it?			
What didn't you like about it?			

2. **Feature–function–benefit:** A new mobile phone is launched that has an advanced fingerprint reader security system. Identify which of the following is the feature, the function, and the benefit:
   a. Better security for the phone allows important data and information to be stored with peace of mind, which improves your productivity. This is a _____.
   b. Patented active capacitance sensing technology. This is a _____.
   c. Fingerprint recognition is integrated into the phone. This is a _____.
3. **Apply to examples:** Now, for the three products you chose in question 1, identify what their features, functions, and benefits are:

	Product 1= _____	**Product 2=** _____	**Product 3=** _____
Features:			
Functions:			
Benefits:			

WORKSHEETS

Visual Representation of Product

In the space below (use more sheets if need be, but keep it to no more than three sheets), build a visual representation of your product and how it works. Annotate your drawings, but do not burden them with too much detail.

Product Alignment with Persona

	How will you deliver a new level of value with respect to this priority?	What features address this priority?	What functions address this priority?	What benefits address this priority?
Persona's #1 Priority: _____				
Persona's #2 Priority: _____				
Persona's #3 Priority: _____				

Ready for Action?

1. Is the High-Level Product Specification ready to review with your Persona? (Circle "Yes" or "No" below.)

   Yes

   No

2. Have you done so? What feedback did the Persona provide?

   _____
   _____

_____
_____

3. Have you iterated at least once based on the Persona's feedback? What changes did you make in response to the Persona's feedback? (Hopefully, you will iterate with the Persona more than once.)
   _____
   _____
   _____
   _____
4. Has the Persona concluded that the High-Level Product Specification is interesting and satisfies the Persona's priorities? (Circle "Yes" or "No" below.)

   Yes

   No

ADVANCED TOPIC: HIGH-LEVEL PRODUCT BROCHURE

Once you have iterated on your High-Level Product Specification, you may want to build a trifold brochure that more clearly outlines the benefits your product provides. Some people will wait to make a brochure until they have iterated the specification with other customers in Step 9, Identify Your Next 10 Customers, but others find a brochure useful at this stage.

A good brochure should have the following items:

1. First draft of company name and tagline.
2. Name of product and tagline.
3. Image or picture of product so it is clear what it is.
4. Clearly identified benefits aligned with the Persona's #1 priority (don't be subtle—it should come out in the taglines and even maybe even the name of your product).
5. Two additional benefits (if appropriate), aligned with the second and third priorities of the Persona, that don't dilute the impact of the first benefit.
6. Provide a sense of the magnitude of the benefit to be expected by the end user. Use your work from Step 6, Full Life Cycle Use Case.
7. Some other information might be relevant, but always be diligent about not diluting your main message—if you say too much, you say nothing in particular.
8. Have a clear call to action.
9. Everything should be fully aligned with the customer's priorities and will resonate with the customer in all elements (e.g., names, taglines, pictures, benefits emphasized, fonts, colors, word choice, language, references, call to action).

There are great individuals and agencies you can hire to design brochures, and you're not expected to become an expert in design. But you want to think through the content and make sure it is compelling and addresses the Persona's priorities. That way, if you choose to delegate or outsource the design, you can give them good direction and not settle for an inferior brochure.

Ultimately, the brochure is the most commonly and widely given elevator pitch about your product because it can be done when you are not in the room and even when you are sleeping. It makes consistent messaging possible and scalable, so don't just downplay it as "marketing hype." It really matters.

You also have to back it up with a great product, but that is coming. First, you have to make sure you are building the right product for your customer, and this process really helps to communicate that to all sides.

Notes

[1] I talked in more depth about this in the *TechCrunch* article of March 1, 2014, titled "Our Dangerous Obsession with the MVP;" see https://techcrunch.com/2014/03/01/our-dangerous-obsession-with-the-mvp/.

[2] "IKEA Effect: When Labor Leads to Love," *Harvard Business* Review working paper, http://www.hbs.edu/faculty/Publication%20Files/11-091.pdf.